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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Anchoring Expectations in the New Year

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Last Week's S&P 500 Index:
-0.4%

Key takeaways

- *Domestic equity indices, after a robust move higher last year, are unlikely to have a repeat performance in 2018. However, we do expect further gains.*
- *The new tax code will likely help extend the current expansion. We expect increased volatility to produce equity opportunities. Stay invested.*

After watching the market grind slowly and, for the most part, steadily higher with very little volatility in 2017, most investors we speak with have one question on their minds: "What is the market going to do in 2018?" They ask this question with a sense of both anxious anticipation and maybe a little fear. Anxious about the possibilities of what a new year might bring, but at the same time fearing the volatility that an uncertain world could always produce at some point. Will the world be more uncertain in 2018? Only time will tell, but in our opinion, investors will likely have more opportunities to buy equities on pullbacks in the coming 12 months. In addition, compared to many fixed income investments, quality dividend-paying stocks offer attractive yields with the chance to participate in a growing economy and a rising stock market.

Are we expecting equity prices to surge as they did last year? Hardly. But keep in mind the economy will likely grow at a reasonable but still below-trend pace over the next year. And earnings growth should get a big boost from the new tax code in 2018. Without the tax change, we would have expected earnings growth to slow this year relative to last year. As we attempt to read the tea leaves, our work suggests the United States will be in a modest-growth/modest-inflation environment throughout the year. We see the S&P 500 gaining ground again this year but don't expect the same magnitude of returns as 2017's.

Looking around the globe, other developed economies such as Japan and Europe will also likely see reasonable economic growth in the quarters ahead. But will the European Central Bank (ECB) back away from its easy money policies sooner than we expect? How about the Federal Reserve? The stock market would, in our opinion, react negatively to measures that reduce central bank liquidity policies too quickly.

Emerging market countries will continue to be an important source of global growth in 2018. Together, developing nations such as China, India, Brazil, and others have hundreds of millions of citizens who are trying to move into the middle class. They want the things most Americans take for granted, like cars, washing machines, and hair dryers. This quest for a better quality of life in the developing world is going to be a major driver of global growth over the next 20 to 30 years or more. We believe investing in this growth story over the long term will be a wise decision, but volatility at points along the way could certainly be high.

It will be important for investors to anchor their expectations in 2018. There are reasons to be optimistic, and the new tax code will likely help extend the current expansion. We think the probability of a recession this year is low. In the near term, the stock market appears ready to trade modestly higher on recent momentum and better economic news.

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